



Definition



Document that can convince the reader that the business can produce enough revenue to make a satisfactory profit and therefore attractive as an investment opportunity

What is a Business Plan?

- Define goals
- Determine objectives to reach goals
- Assess resources and make decisions
- Create contingency plans for managing changes
- Rationally assess operational feasibility and financial viability



Reasons for Writing a Plan



- To serve as the guide you will follow throughout the life of your business
- All lenders and investors require a business plan
- A business plan is the key to conducting business in the international marketplace

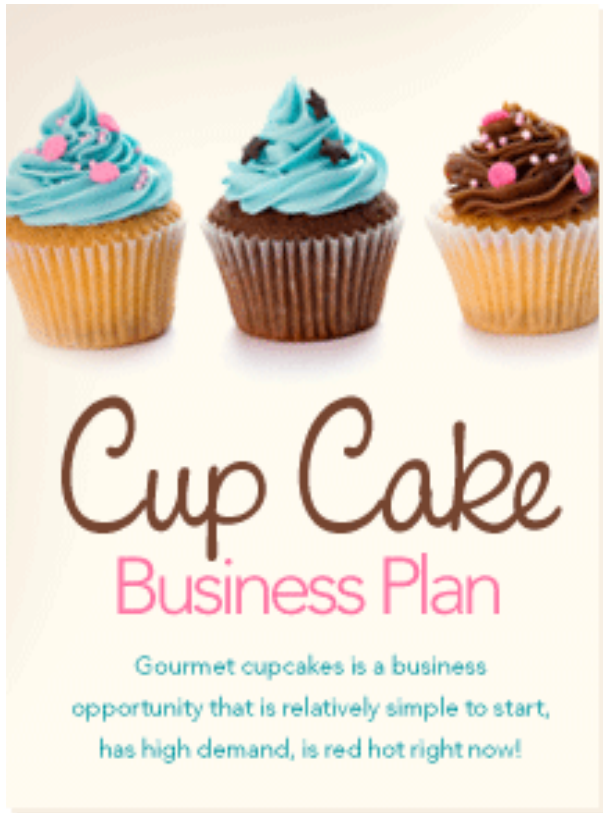
Business Plan Characteristics

- Persuade potential investors to invest
- Allows readers to assess the profitability and goals of the new venture
- Provide employees with guidance and direction
- Convince suppliers and customers that the new venture is promising
- Clarify the objectives of the new venture
- Create strategic alliances with other business partners



The Planning Process

What are the parts of a Business Plan?



- Cover Sheet
- Table of Contents
- Executive Summary
- Part 1: Organizational Plan
- Part 2: Marketing Plan
- Part 3: Financial Documents
- Part 4: Supporting Documents

Title Page (cover page)

- Business name, address, and phone number
- Date the plan was prepared
- Confidentiality statement
- Owner's name, address, phone number, web address, e-mail

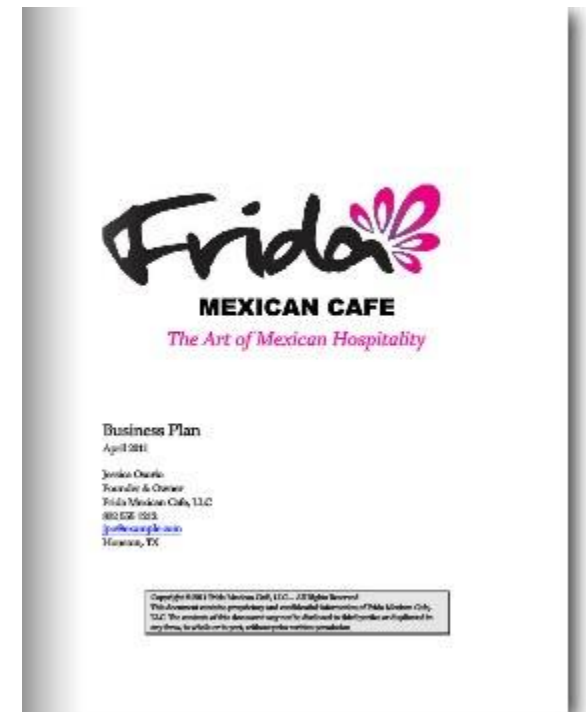


Table of Contents



- List major sections of the plan and the page number where each section can be found.
- This page cannot be prepared until the plan is finished.

Executive Summary

(prepared last)

- Describe the business structure, purpose, and goals
- Describe your products / services and production process?
- What is your overall marketing strategy, and who will be/are your customers?
- Who will be/is in the business, and how is it managed?
- What are the skills of each member of the management team?
- What is the amount and terms of needed financing and what will it be used for? How will loans be repaid?



The Company Profile

The two major topics of the company section:



- Organization and Management
- Products or services

(The Company)

Organization and Management

- Briefly mention what the business purpose is and what you provide to the customer
- Identify the legal structure of your business
 - Sole proprietorship
 - Partnership
 - Corporation
 - LLC



Organization and Management

- Describe *your own* experiences, skills, qualifications and education that will ensure the success of the business.
 - Personnel Management
 - Bookkeeping
 - Inventory control
 - Customer service
 - Advertising
 - Work history
 - Professional membership



(The Company)

Organization and Management

- **Identify your team**
 - How many employees are needed?
 - Organizational chart
 - Methods of compensation
 - Hours to be worked
 - Required skills
 - Job descriptions
- **Specialists**
- **Advisors**



The Market

The two major items for this section of the business plan are:



- **Industry**
- **Marketing Plan**

Part II: Marketing Plan

- Overview & Goals of Your Marketing Strategy
- Market Analysis:
Target Market, Competition, Industry Trends
- Marketing Strategy: Product
Distribution, Packaging, Pricing, Branding, Database Marketing, Sales Strategies, Promotions, Advertising Strategies, Public Relations, Networking
- Customer Service
- Implementation of Strategy
- Assessment of Marketing Effectiveness



(The Market)

Marketing plan sections

- Competition**
- Customers**
- Strategies to meet sales goals**
- Market research**



(The Market)

Marketing plan-customers



Happy Customer



- Who?
- What?
- When?
- Where?
- Why?
- How?

(The Market) Marketing plan- sales strategies

- What is the **selling price** of the product or service?
How was this determined?
 - Quality
 - **Competition** *
 - Service provided
 - Location
 - Your business **costs** *
 - Perceived value to customer
 - What the **market** will allow *
 - Profit



(The Market)

Marketing plan- sales strategies



- **Promotional activities are determined by your target customers**
 - Advertising – newspaper, radio, TV, yellow pages, billboards, direct mail, flyers, posters, business cards, website, etc..
 - Sales promotions –samples, reduced prices, coupons and contests.
 - Publicity –feature stories, public relations, trade shows, networking, organizations

The Financial Plan

Major sections include:

- Financial Projections
 - Income statements
 - Balance sheet
 - Cash flow
- Assumptions
- Sources and uses
- Break even analysis
- Contingent liabilities



Assumptions

- Spell out conditions assumed when compiling financial statements
 - Sales volume
 - Pricing structure
 - Average sales amount
 - Number of customers
 - Seasonal trends
 - Specific expenses
 - Owner's draw/salary
 - Growth rate



Sample Sources and Uses Statement

SOURCES and USES of FUNDS	
Sources of FUNDS:	
Owner's Cash Investment	\$ 5,500
Loan	\$ 30,000
TOTAL SOURCES OF FUNDS	\$ 35,500
Uses of Funds:	
Inventory	\$ 5,000
Renovations to Facility	\$ 3,000
Equipment	\$ 1,000
Furniture	\$ 1,000
Machinery	\$ 500
Building	\$ 20,000
Working Capital	\$ 5,000
TOTAL USES OF FUNDS	\$ 35,500

SAMPLE CASH FLOW STATEMENT

CASH FLOW STATEMENT															
		Start-up Costs:	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Total
Beginning Cash Balance:	\$	-	\$ 13,350	\$ 11,350	\$ 12,450	\$ 14,884	\$ 15,925	\$ 16,953	\$ 17,737	\$ 19,398	\$ 20,027	\$ 21,560	\$ 23,221	\$ 24,243	\$ 13,350
Cash Receipts:															
Sales	\$	-	\$ 16,879	\$ 14,018	\$ 17,506	\$ 13,404	\$ 14,662	\$ 14,561	\$ 16,701	\$ 12,191	\$ 14,852	\$ 17,144	\$ 14,821	\$ 15,255	\$ 181,994
Loan Proceeds	\$	85,000													
Equity Investment	\$	-													
Total Cash Receipts:	\$	85,000	\$ 16,879	\$ 14,018	\$ 17,506	\$ 13,404	\$ 14,662	\$ 14,561	\$ 16,701	\$ 12,191	\$ 14,852	\$ 17,144	\$ 14,821	\$ 15,255	\$ 181,994
Cash Disbursements:															
Materials Purchases	\$	8,000	4,220	3,505	4,377	3,351	3,666	3,640	4,175	3,048	3,713	4,286	3,705	3,814	\$ 45,499
Rent			\$ 865	\$ 865	\$ 865	\$ 865	\$ 865	\$ 865	\$ 865	\$ 865	\$ 865	\$ 865	\$ 865	\$ 865	\$ 10,380
payroll			5,570	4,626	5,777	4,423	4,838	4,805	5,511	4,023	4,901	5,658	4,891	5,034	\$ 60,058
payroll taxes			\$ 1,091	\$ 906	\$ 1,131	\$ 866	\$ 947	\$ 941	\$ 1,079	\$ 788	\$ 960	\$ 1,108	\$ 958	\$ 986	\$ 11,759
advertising			\$ 238	\$ 198	\$ 247	\$ 189	\$ 207	\$ 205	\$ 235	\$ 172	\$ 209	\$ 242	\$ 209	\$ 215	\$ 2,566
purchased services			\$ 40	\$ 40	\$ 40	\$ 40	\$ 40	\$ 40	\$ 40	\$ 40	\$ 40	\$ 40	\$ 40	\$ 40	\$ 480
office supplies			\$ 30	\$ 30	\$ 30	\$ 30	\$ 30	\$ 30	\$ 30	\$ 30	\$ 30	\$ 30	\$ 30	\$ 30	\$ 360
utilities			\$ 600	\$ 600	\$ 600	\$ 600	\$ 600	\$ 600	\$ 600	\$ 600	\$ 600	\$ 600	\$ 600	\$ 600	\$ 7,200
telephone			\$ 50	\$ 50	\$ 50	\$ 50	\$ 50	\$ 50	\$ 50	\$ 50	\$ 50	\$ 50	\$ 50	\$ 50	\$ 600
insurance			\$ 2,356	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 2,356
sales tax			\$ 30	\$ 25	\$ 31	\$ 24	\$ 26	\$ 26	\$ 29	\$ 21	\$ 26	\$ 30	\$ 26	\$ 27	\$ 320
vehicle expense			\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 1,200
Miscellaneous Exp.			\$ 150	\$ 150	\$ 150	\$ 150	\$ 90	\$ 150	\$ 150	\$ 150	\$ 150	\$ 150	\$ 150	\$ 150	\$ 1,740
Startup Costs			\$ 2,365	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 2,365
Maintenance & Repairs			\$ 75	\$ 75	\$ 75	\$ 75	\$ 75	\$ 75	\$ 75	\$ 75	\$ 75	\$ 75	\$ 75	\$ 75	\$ 900
Prof fees			\$ -	\$ 150	\$ -	\$ -	\$ -	\$ 150	\$ -	\$ -	\$ -	\$ 150	\$ -	\$ 150	\$ 600
Loan #1 Interest			\$ 673	\$ 670	\$ 666	\$ 663	\$ 659	\$ 656	\$ 652	\$ 649	\$ 645	\$ 642	\$ 638	\$ 634	\$ 7,846
Loan #2 Interest			\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Loan #3 Interest			\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Loan #1 Principle			\$ 427	\$ 430	\$ 434	\$ 437	\$ 441	\$ 444	\$ 448	\$ 451	\$ 455	\$ 458	\$ 462	\$ 466	\$ 5,353
Loan #2 Principle			\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Loan #3 Principle			\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Capital Purchases	\$	63,650	\$ -												\$ -
Owner's Draw			\$ -	\$ 500	\$ 500	\$ 500	\$ 1,000	\$ 1,000	\$ 1,000	\$ 500	\$ 500	\$ 1,000	\$ 1,000	\$ 1,000	\$ 8,500
Total Cash Disbursements:	\$	71,650	\$ 18,879	\$ 12,918	\$ 15,072	\$ 12,363	\$ 13,634	\$ 13,777	\$ 15,040	\$ 11,562	\$ 13,319	\$ 15,483	\$ 13,799	\$ 14,235	\$ 170,081
Total Cash Flow:	\$	13,350	\$ (2,000)	\$ 1,100	\$ 2,434	\$ 1,041	\$ 1,028	\$ 784	\$ 1,661	\$ 629	\$ 1,533	\$ 1,661	\$ 1,022	\$ 1,020	\$ 11,913
Ending Cash Balance:	\$	13,350	\$ 11,350	\$ 12,450	\$ 14,884	\$ 15,925	\$ 16,953	\$ 17,737	\$ 19,398	\$ 20,027	\$ 21,560	\$ 23,221	\$ 24,243	\$ 25,263	\$ 25,263

Supporting Documents

- **Personal resumes**
- **Personal financial statement**
- **Supporting documentation**
 - **Market research**
 - **Business documents**
 - **Promotional materials**
 - **Letters of support**
 - **Proprietary protection**
 - **Previous income tax returns**

